

FUNDAMENTAL CONCEPTS

Definition/Divisions and History of Economics

Economics is the proper allocation and efficient use of available resources for the maximum satisfaction of human wants. Since resources are generally scarce while human wants tend to be unlimited, economics encounters not a few problems. However, the biggest problem is not limited resources like land, money, machines, raw materials, technology, skilled workers or competent managers. The root problem, which is the real problem, is the unjust distribution of productive resources among the members of the society. Such misdistribution of wealth and income is the root cause of poverty. Our available resources are in the hands of very few families. So, most of the people are mere tenants, clerks, factory workers and servants.

The fundamental problem of unfair allocation of resources has been a global problem. Most of the countries of the world experience such problem. There are extremely very few rich while there are many poor. These countries are located in Africa, Asia and Latin America. These regions are the poorest in the world. Everyday, some 40, 000 countries spend billions and billions of dollars for the foods of their favorite dogs and for arms race. Indeed, it is a very sad comparative note in illustrating the unjust distribution of resources. But this is what really happens in our world.

Divisions of Economics

1. **Microeconomics**- deals with the economic behavior of individual units such as the consumers, firms and the owners of the factors of production. Such specific economic units constitute a very small segment of the whole economy. their activities are presented and discussed in details. For example, the price of rice, the number of workers of san Miguel Corporation, the income of Mr. Cruz, the expenditures of MERALCO, etc.
2. **Macroeconomics**- deals with the economic behavior of the whole economy or its aggregates such as government, business and household. An aggregate is composed of individual units. The operation of the various aggregates and their interrelationships are analyzed to provide a profile of the economy as a whole. Macroeconomics is concerned with the discussion of topics like gross national product, level of employment, national income, general level of prices, total expenditures, etc. When we study the income or family savings bank, we are dealing with microeconomics; but when we deal with the total income or total expenditure of the whole banking industry, then we are involved in the study of macroeconomics. If we discuss the economic crisis of our country, we are concerned with macroeconomic analysis. However, what is true in microeconomics may not be true in macroeconomics. For example, a vegetable farmer gets better harvest. This means more income for him. But if all vegetable farmers have increased their harvests, it is no longer favorable for them. More supply reduces the price of vegetables.

History of Economics

Economics as a science is very young compared with other sciences, which were formed even hundred years before the Birth of Christ. It has started to be known when Adam Smith's book *Wealth of Nations* was published in 1776. This book became the bible of economics for more than a century. Because of the economic contributions of Smith in the field of science, he has been considered the "Father of Economics."

However, the ideas and practices of economics have been as old as mankind. These economic thoughts appeared in biblical teachings, philosophy and politics. The primitive people were resourceful. They invented ways and means of food gathering and hunting. Such art of making a living among the ancient tribes represented a form of economics.

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During the biblical times, economic ideas and activities were influenced by biblical teachings and the wisdom of the great prophets. Even the Babylonian code of Hammurabi contains detailed regulations for economic practices. Justice, charity and honesty were the rules in economic dealings. Usury was prohibited. Profits were despised.

The Babylonians had clear ideas about interests and mortgages. The Phoenicians had good knowledge about commerce and money. The Hebrews and the Hindus stressed the virtues of industry, temperance, and economy. The word economics was derived from an ancient Greek word *oikonomos*, which means household management. The housekeeper had to see to it that there was enough food, clothing and shelter; that the house was kept in order; that the necessary duties and responsibilities were performed by the members of the household; and that their products were distributed according to necessity or custom. To the ancient Greeks, however, the term *oikonomos* applied more on the proper management of city-states.

Basic Economic Problems

The Three Basic Economic Problems are:

1. What goods and services to produce and how much. In business, a feasibility study determines whether certain goods or services become profitable or not in a given market. Investors are only willing to produce goods and services, which give them good profit. Apparently, there is no problem. Just simply conduct a market study or feasibility study. In reality, however, it is not always possible to produce all the goods and services that people need, because resources are limited.
2. How to produce the goods and services. This is problem of production technology or methods of production. As a general rule, goods and services must be produced in the most efficient manner. This means maximum output with minimum input without sacrificing quality. Although the rich countries use advanced technology in the production of goods and services, there are still goods and services which could not be produced efficiently; hence, the continuous research and development projects. The application of modern technology has increased output and decreased cost of production. Such production efficiency has greatly contributed to the high standard of living of the industrial countries.
3. For whom are the goods and services. This is a problem of distribution. Who gets the goods like rice, clothes, shoes and the services such as education, medicare, etc. in a pure market economy or capitalism, goods and services are definitely for those who have money and are willing to purchase them.

Economic system models

Economic Systems

An economic system is a set of economic institutions that dominates a given economy. An institution is a set of rules of conduct, established ways of thinking, or ways of doing things. Examples are taxation; profit motive, economic planning, production or banking. The principle objective of an economic system is to solve the basic economic problems.

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Economic system models

1. **Capitalism** – the factors of production and distribution are owned and managed by private individuals or corporations. It has been known by similar terms like market economy, free enterprise economy, or laissez faire economy. The latter are French words which mean no government intervention in economic affairs.

The essential characteristics of capitalism are:

- Private property
- Economic freedom
- Free competition
- Profit motive

As a way of thinking, capitalism involves the following: Capitalism as a way of thinking is fundamentally individualistic, that is, that the individual is the center of capitalist endeavor. This idea draws on all the Enlightenment concepts of individuality: that all individuals are different, that society is composed of individuals who pursue their own interests, that individuals should be free to pursue their own interests (this, in capitalism, is called "economic freedom"), and that, in a democratic sense, individuals pursuing their own interests will guarantee the interests of society as a whole. Capitalism as a way of thinking is fundamentally based on the Enlightenment idea of progress; the large-scale social goal of unregulated capitalism is to produce wealth, that is, to make the national economy wealthier and more affluent than it normally would be. Therefore, in a concept derived whole-cloth from the idea of progress, the entire structure of capitalism as a way of thinking is built on the idea of "economic growth." This economic growth has no prescribed end; the purpose is for nations to grow steadily wealthier.

Economics, the analysis of the production and distribution of goods, has to be abstracted out of other areas of knowledge. In other words, capitalism as a way of thinking divorces the production and distribution of goods from other concerns, such as politics, religion, ethics, etc., and treats production and distribution as independent human endeavors. In this view, the fundamental purpose and meaning of human life is productive labor. Marxism, which has more in common with capitalism than it has differences, also bases itself on these ideas.

The economic world view treats the economy as if it were mechanical, that is, subject to certain predictable laws. This means that economic behavior can be rationally calculated, and these rational calculations are always future-directed. So, the mechanistic view of the economy leads to an exclusively teleological world picture; capitalism as a manipulation of the "machine" of the economy is always directed to the future and intentionally regards the past as of no concern. This, in part, is one of the fundamental origins of modernity, the sense that the cultural present is discontinuous with the past.

The fundamental unit of meaning in capitalist and economic thought is the object, that is, capitalism relies on the creation of a consumer culture, a large segment of the population that is not producing most of what it is consuming. Since capitalism, like mercantilism, is fundamentally based on distributing goods—moving goods from one place to another—consumers have no social relation to the people who produce the goods they consume. In non-capitalist societies, such as tribal societies, people have real social relations to the producers of the goods they consume. But when people no longer have social relations with others who make the objects they consume, that means that the only relation they have is with the object itself. So part of capitalism as a way of thinking is that people become "consumers," that is, they define themselves by the objects they purchase rather than the objects they produce.

Reference: <http://www.wsu.edu/capitalism>

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2. **Communism** – is exactly the opposite of capitalism. The factors of production and distribution are owned and managed by the state. It is also called a command economy or classless society.

The essential characteristics of communism are:

- No private property
 - No free competition
 - No economic freedoms
 - No profit motive
 - Presence of central planning
3. **Socialism** – is a combination of capitalism and communism. The major and strategic industries are owned and managed by the state while the minor industries belong to the private sector. Examples of major industries are transportation, electrification, mining and production of essential products. Examples of minor industries are the production and marketing of candies, cakes toys, etc.

How to judge an economic system

1. **Abundance.** This refers to goods and services that individual members of society have received. Are these sufficient and are the people satisfied? Are there no problems in clothing, shelter, medicare education and recreation?
2. **Growth.** The growth of economy is tangible, and is measurable in terms of the number of buildings, houses, schools, cars, hospitals, factories or machines made in a given year.
3. **Stability.** This refers to the absence of inflation and unemployment. However, if the ups and downs of economic activities like production, consumption, and saving, among other things, are minimal there is still economic stability.
4. **Security.** Economic security generally depends on economic stability. Workers and employees do not lose their jobs if there is prosperity in the economy.
5. **Efficiency.** It simply means productivity. It is measured in terms of unit cost or average cost.
6. **Justice and equity.** Is the distribution of wealth, income and power among the members of society fair? Is there no big gap between the rich and the poor?
7. **Economic freedom.** If a consumer is free to choose his food, style of his house any kind of appliances his recreation or his education then there is economic freedom.